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# Canada Bread Reports Third Quarter 2009 Financial Results

Toronto, Ontario – October 28, 2009… Canada Bread Company, Limited (TSX: CBY) today reported its financial results for the third quarter ended September 30, 2009.

- Net earnings per share increased to $0.99 compared to $0.77 last year
- Adjusted Operating Earnings increased to $36.9 million from $31.9 million
- Sales declined to $424.6 million from $443.1 million last year

*Note: Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income (expense). Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.*

"Our organization has achieved steady earnings growth despite challenging global economic conditions," said Richard Lan, President and CEO. "We are steadfastly focused on growing sales through deepening our relationships with customers, delivering more product innovation to appeal to consumers, and developing lots of excitement and momentum internally around our market wins and opportunities ahead."

## Financial Overview

Sales for the third quarter decreased by 4.2% to $424.6 million compared to $443.1 million last year due to lower volumes and a moderate change in mix from specialty to staple products primarily in the U.K.

Adjusted Operating Earnings increased 15.9% to $36.9 million compared to $31.9 million last year, while net earnings increased 27.0% to $25.1 million compared to $19.7 million last year.

The following is a summary of Adjusted Earnings per Share:

| | Third Quarter | | Year-to-Date | |
|---|---|---|---|---|
| Per share | **2009** | 2008 | **2009** | 2008 |
| EPS | **$0.99** | $0.77 | **$2.46** | $1.51 |
| Restructuring and other related costs [(i)] | **0.02** | $0.16 | **$0.04** | $0.23 |
| **Adjusted EPS [(ii)]** | **$1.00** | $0.93 | $2.50 | $1.75 |

*(i) Includes impact of restructuring and other related costs, net of tax.*
*(ii) Does not add due to rounding.*

## Business Segment Review

Following is a summary of Adjusted Operating Earnings by business segment:

| ($ thousands) | Third Quarter | | Year-to-Date | |
|---|---|---|---|---|
| | **2009** | 2008 | **2009** | 2008 |
| Fresh Bakery | **$33,260** | 25,985 | **$71,457** | 51,131 |
| Frozen Bakery | **3,655** | 5,874 | **19,949** | 12,670 |
| **Adjusted Operating Earnings** | **$36,915** | 31,859 | **$91,406** | 63,801 |

Fresh Bakery *(Fresh bakery products, sweet goods, sandwiches, and specialty fresh pasta and sauces)*

Fresh Bakery sales in the third quarter declined by 1.0% to $287.3 million, from $290.2 million last year, mainly due to lower sales of fresh sandwiches. Sales of fresh bakery products were largely consistent with the third quarter of 2008.

Adjusted Operating Earnings increased to $33.3 million in the third quarter compared to $26.0 million last year. The fresh bakery and pasta operations realized improved margins as a result of lower commodity prices, although the benefit was partly mitigated by a weaker Canadian dollar, which increased the cost of U.S. dollar priced flour and other ingredients. Earnings from the fresh sandwich business, which includes the 2008 Aliment Martel acquisition, have not met expectations. Management considers the business to be an important part of its growth strategy and is actively working on initiatives to improve its market share and profitability.

Fresh Bakery launched several exciting new innovative products in the quarter aimed at supporting margin and category expansion. *Dempster's® OvenFresh™* is a line of fresh, long life white and multigrain baguettes and dinner rolls that finish baking at home in minutes. Under a licensing agreement, the Company has also launched Cadbury™ Snack Cakes in Eastern Canada, an exciting new addition to its sweet goods offerings in the region.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales decreased by 10.2% to $137.3 million from $152.9 million in the same period last year due to lower volumes and an unfavourable shift in mix from specialty to staple products primarily in the U.K. As the U.K. economy continues to be impacted by the global economic downturn, Management remains focused on initiatives to sustain sales volumes and expand product offerings that deliver value at reasonable prices.

Adjusted Operating Earnings in the quarter decreased to $3.7 million compared to $5.9 million last year. Earnings from the U.K. bakery operations declined in the quarter due to the continued effects of the recession on sales of premium specialty bakery products and also as a result of higher manufacturing overheads. North American frozen bakery operations benefited from lower commodity costs.

## Other Income (Expense)

Other expense was $0.1 million in the quarter compared to other income of $4.8 million last year. Year-to-date other income was $2.4 million (2008: $6.4 million). Year-to-date and 2008 other income were primarily comprised of insurance proceeds received to cover business interruption losses resulting from the oven fire at the U.K. bakery in 2008.

## Other Matters

On October 27, 2009, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on January 4, 2010 to shareholders of record at the close of business on December 8, 2009. Unless indicated otherwise, by the Company, in writing at or before the time the dividend is paid, these dividends will not be considered an eligible dividend for the purposes of the “Enhanced Dividend Tax Credit System”.

## Forward-Looking Statements

This document contains, and the Company’s oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, expectations regarding earnings potential in the fresh sandwich business, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as “expect,” “anticipate,” “intend,” “attempt,” “may,” “will,” “plan,” “believe,” “seek,” “estimate,” and variations of

such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on expectations concerning performance of the Company's business in general, and are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified under the "Risk Factors" in the Company's Annual Management's Discussion and Analysis will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements are discussed more fully under the heading "Risk Factors" in the Company's Annual Management's Discussion and Analysis for the year ended December 31, 2008 and updated in each quarterly Management's Discussion and Analysis that are available on SEDAR at www.sedar.com. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Canada Bread Company Limited, which is 89.8% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2008 sales of $1.7 billion and employs approximately 8,500 people at its operations across North America and in the United Kingdom.